

Annual Sales & Operations Plan (S&OP) — FY2026

Northwind Outdoor Co. — Planning Function

Owner: Avery Chen, VP Planning. Approved: 12 October 2025.

Executive Summary

The FY2026 S&OP commits to producing **1,805,000 units** across all SKU families, +6.5% versus FY2025. Q4 absorbs the largest share of production at **28%** due to Fall and holiday demand. The bottleneck process is **Tent assembly on the Reno line**, which operates at 92% utilization during peak. The plan targets an overall **85% capacity utilization** with 15% headroom for promotion-driven upside.

Key Assumptions

- YoY demand growth: 6.5%, weighted toward Ecommerce (+11.2%) and Wholesale (+4.8%).
- Material cost inflation: 3.4% applied uniformly across all families.
- Labour available: 412,000 standard hours across all sites at 95% attendance.
- Tent fabric supply assumed reliable post-Q1 contract renewal with Acme Textiles.
- Promotional events: 4 major (Spring Refresh, Summer Sale, Fall Launch, Holiday).

Capacity Allocation by Family × Quarter

Allocation in units. Bottleneck process is Tent assembly; allocations for Tents are bounded by the Reno line capacity of 130,000 units/quarter.

Family	Q1 FY26	Q2 FY26	Q3 FY26	Q4 FY26	Annual
Tents	92,000	108,000	124,000	116,000	440,000
Backpacks	89,000	102,000	121,000	118,000	430,000
Sleeping Bags	64,000	78,000	92,000	96,000	330,000

Cookware	52,000	68,000	78,000	72,000	270,000
Apparel	122,000	108,000	102,000	124,000	456,000
Quarter total	419,000	464,000	517,000	526,000	1,926,000
<i>Share of annual</i>	<i>22%</i>	<i>24%</i>	<i>27%</i>	<i>27%</i>	<i>100%</i>

Capacity & Bottlenecks

The Tent assembly line at the Reno facility is the binding constraint. FY2026 plan loads it to 92% utilization during Q3 (June–August). Mitigation options include a third shift for 6 weeks (adds 24,000 units of capacity) or outsourcing 8,000 units to the Tijuana partner facility. Decision required by end of Q1.

Channel Mix Plan

Ecommerce share rises from 36% to 39% of total volume. Wholesale remains steady at ~37%; Retail Stores at 24%. The Ecommerce shift concentrates demand on Eastern and Western DC pick capacity; Fulfillment is preparing for a peak-week rate of 18,500 orders/day in early December.

Risks & Mitigations

- Tent fabric supply (Acme): single-source. Mitigation — qualify a backup mill in Q2.
- Carrier rate increases for Ecommerce: assumed 4% peak surcharge baked in.
- Demand softness in Apparel: hedged with a 4-week pull-forward of Fall release.